

# Rent the Runway expands into rotational luxury home decor rental

Rent the Room



Blue 1:

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# Current State - The Industry & Company

**Industry Overview:** The online clothing rental services market has a market size of **\$1.92 billion as of 2025** and is expected to grow to **\$2.9 billion in revenue by 2034**. Revenue is earned through subscriptions and per-item rental fees and the main costs include inventory, maintenance, operational expenses, shipping, marketing, and transaction fees.

## Market Saturation:

- Fashion rental market has become increasingly competitive with new entrants and existing retailers launching and expanding into rental services

## Market Volatility:

- Aggressive trade policies and tariffs leading to economic uncertainty and market instability across the economy impact consumer spending behavior, investor confidence, and rental companies' ability to invest in growth initiatives

## Financial Instability:

- Despite consistent revenue growth, RTR has reported a pattern of net losses, raising concerns of long-term financial viability

## Slow Subscriber Growth:

- Business model relies on growing subscriber base. Active subscribers have only increased 0.5% year over year

## Operational Challenges

- Criticism over inventory shortages, declining product quality, customer service issues



# FY24 Company Metrics Summary

While # of active subscribers and Total Revenue showed positive growth, RTR's profit continued to plummet. Net Loss for FY 2024 alone is ... **\$69.9M**

## TOTAL REVENUE

\$306.2M

Up 3% YoY

## ACTIVE SUBSCRIBERS

119.8K, Down 5% YoY

## AVERAGE ACTIVE SUBSCRIBERS

132.6K, Down 2% YoY

## TOTAL SUBSCRIBERS

164.0K

Down 5% YoY

## GROSS PROFIT / MARGIN

\$115.9M / 38%

Margin down 2 pts YoY

## NET LOSS / MARGIN

\$(69.9)M / (23)%

Margin up 15 pts YoY

## ADJ. EBITDA / MARGIN

\$46.9M / 15%

Margin up 6 pts YoY

# Strategic Direction of Rent the Runway

Rent the Runway's core competencies include **reverse logistics expertise, inventory and utilization management, data-driven recommendations and personalization, partnerships with designers, and sustainability and circular fashion leadership.**

These core competencies have shaped the strategic direction of the firm over the past 4 years with a focus of sustainability, growth, and cost cutting at the forefront.

| 2021                                                                                                                                                                                                                                                                                                                                  | 2022                                                                                                                                                                                                                                                                                                                                                    | 2023 & 2024                                                                                                                                                                                                                                                                                                        | 2025 and Beyond                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>IPO + Subscription Pivot</b><br><br>Rent the Runway went public in October 2021 and <u>transitioned from occasion-based rentals to a subscription-first model.</u> Company investments in reverse logistics, warehouse automation, and data infrastructure for inventory management. <u>Brand image focused on sustainability.</u> | <b>Expanding Access &amp; Flexibility</b><br><br>Rent the Runway <u>focused on reaching a larger customer base</u> by acquiring Gen Z and Millennial renters, providing mid-tier brands, everyday wear, and introducing flexible subscription plans. The company expanded into plus-size items, maternity options. Encouraged reuse of rented garments. | <b>Cutting Costs &amp; Pushing Profitability</b><br><br>Rent the Runway shifted focus from <u>hypergrowth to a path to profitability by consolidating existing resources.</u> Improved margins through warehouse restructuring and layoffs. The company limited item swaps and reduced SKUs that didn't rent well. | <b>Category Exploration &amp; Reinvention</b><br><br>Rent the Runway is <u>expanding into a "style as a service" platform and experimenting with categories adjacent to fashion</u> with new focuses and influences in lifestyle and wellness. They are positioning themselves as a partner to brands that are focused on sustainability and reducing their environmental footprint. |

# RTR Living: Dress Your Space in Designer Style

## What we recommend:

- Launch a curated home decor rental service
- Offer pre-styled bundles (ie., pillows + rugs + tableware) or individual items
- Focus on seasonal and event-based sets for both consumers and professionals
- Introduce as "RTR Living" under the brand umbrella



## Why this works:

- Leverages RTR's core strengths: reverse logistics, sustainability, brand curation
- Use existing warehouse & shipping systems
- Extends RTR's ESG mission beyond fashion
- Forecasted \$28.6M in home decor revenue by FY2029

**Next Step:** Launch RTR Living as a pilot in NYC & LA to test engagement and optimize logistics before full rollout.

# Our Recommendation – Home Decor Rentals

1

Pre-styled decor looks that can be rented together (all pillows, rugs, lamps, wall art for a living room) or separately (rent individual pieces)

2

Small, high-impact decor items such as pillows, rugs, curtains, art/wall decor, candlesticks, vases, bowls, lamps, string lights, desk organizers, plant stands

3

Seasonal decor – Christmas wreaths, dining room centerpieces for Thanksgiving

**B2C**

Urban renters and millennials who move frequently and may want short term decor

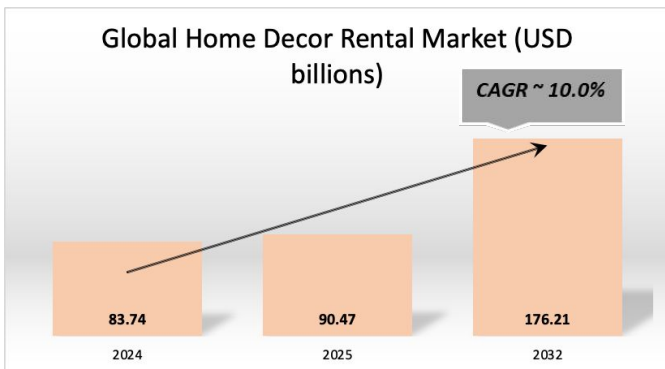
Extension of luxury lifestyle customers who are already using RTR for fashion

**B2B**

Target realtors and home stagers

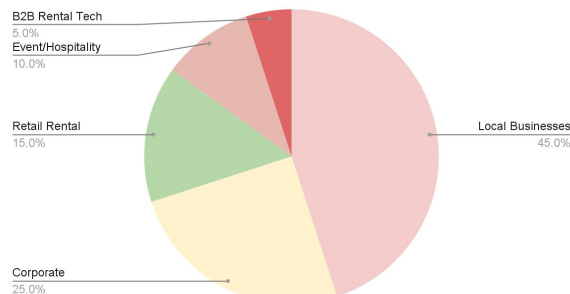
# Why Is the Home Decor Rental Market Attractive?

Home decor rental market  
is expected to grow **10%**



Fragmented market allows for  
**significant growth potential**

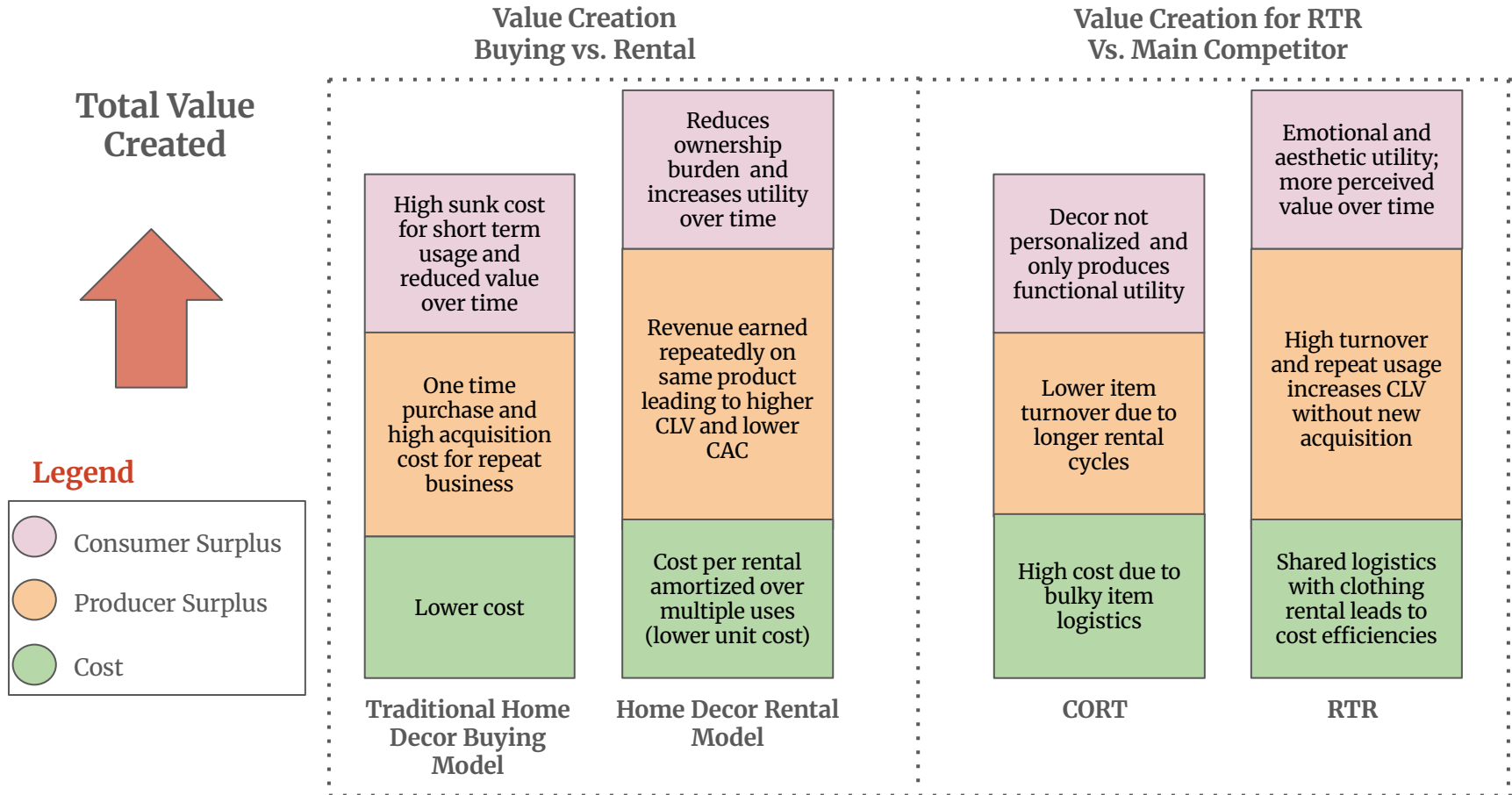
Market Breakdown by Types of Businesses



## Market Attractiveness: Porter's Five Force Analysis



# Why is this Opportunity Attractive for RTR?



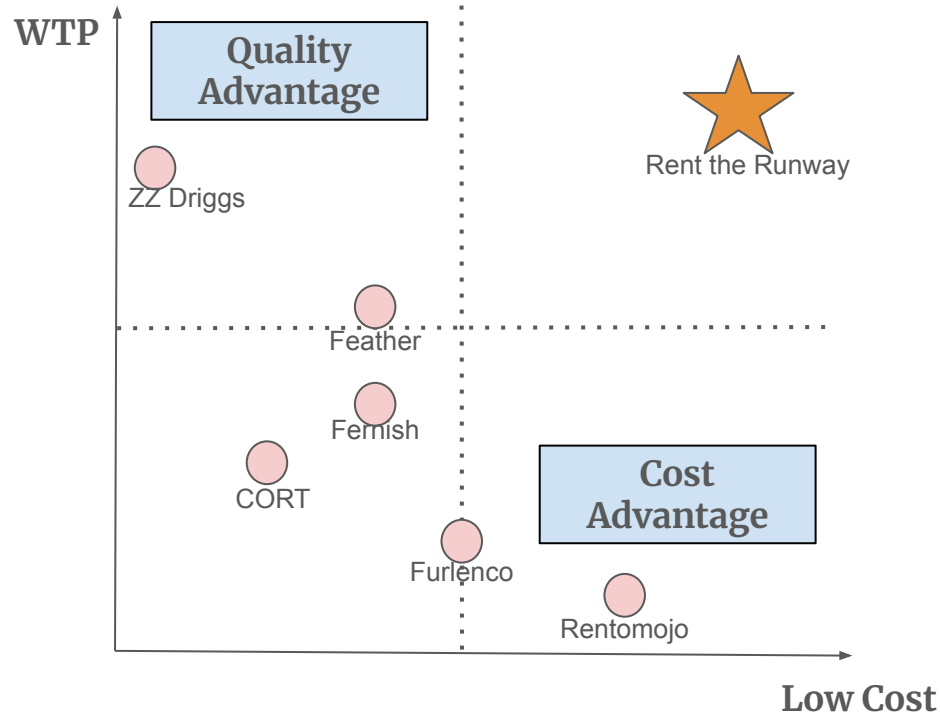
# Why is this Opportunity Attractive for RTR?

## RTR's Core Competencies & Assets

## Application to Home Decor Rental

|    |                                                |                                                                                                                                                                                                                |
|----|------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 01 | Reverse Logistics & Cleaning Infrastructure    | RTR can efficiently manage decor returns, quality checks, cleaning, and repackaging with existing infrastructure for clothing                                                                                  |
| 02 | Warehouse & Inventory Management Systems       | RTR can store, track, and rotate small-to-medium sized home decor items using same system for managing clothing items and limited need for additional storage space when dealing with small, lightweight items |
| 03 | Subscription Platform & App                    | Home decor can be added as a new category in the existing customer experience/interface making it easy to cross-sell and up-sell                                                                               |
| 04 | Existing Subscriber Base                       | Home decor will be marketed to current customers with high brand loyalty to minimize customer acquisition cost                                                                                                 |
| 05 | Brand Recognition & Sustainability Positioning | RTR can use its fashion credibility to win trust in curated home design and the company's current sustainability leadership can easily translate into messaging around low-waste living                        |

# Competitive Advantage & Positioning



## Competitive Advantage:

### 1. Differentiation advantage

- Style authority translates to credibility in home aesthetic
- Data-driven recommendations for home decor based on past clothing rentals
- Packaging decor with fashion helps RTR establish themselves as a lifestyle brand

### 2. Cost leadership

- Shared logistics and infrastructure allows RTR to process decor items at a lower cost with existing workflows
- Focus on high-turnover, lightweight, low-breakage items to reduce shipping, cleaning, storage costs
- Proven model for reusing inventory drastically lowering cost per use

# Financial Analysis – Revenue streams

3 kinds of revenue stream that RTR can monetize the platform

Current fashion customers base is **141K active subscribers** estimated for 2025 with growth rate of 5%. Roughly 20% are potential home decor subscribers, **27K**. New subscribers are around **3K**

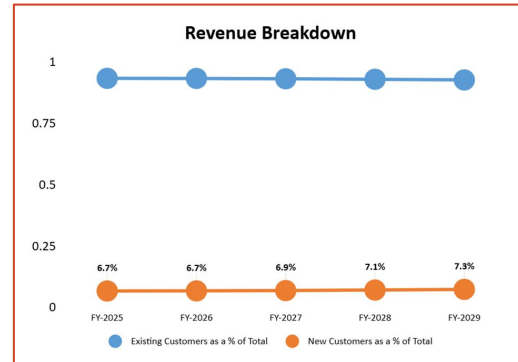
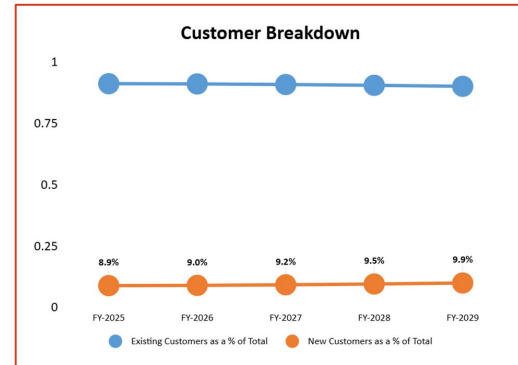
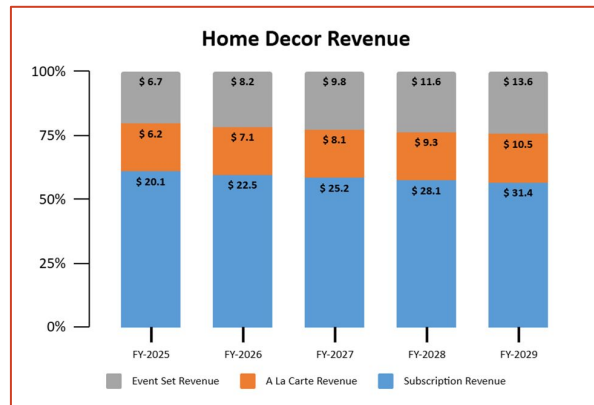
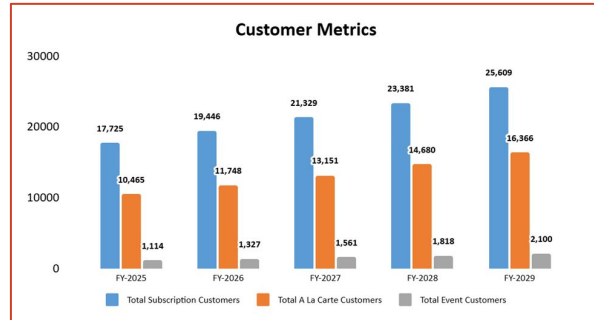
| Revenue Streams |                                                                          |                  |
|-----------------|--------------------------------------------------------------------------|------------------|
| Stream          | Description                                                              | Pricing Range    |
| Subscriptions   | Monthly decor box (3–5 curated items, thematic)                          | \$79–\$129/month |
| A La Carte      | Short-term rentals (6–8 months) for pillows, rugs, table sets, lamps     | \$30–\$70/item   |
| Event Set       | Rentals for realtors (home staging), Airbnb hosts, corporate/event décor | \$400–\$900/set  |

| Customer Layout       |                                                                                      |                                                                                                                                                                                                |
|-----------------------|--------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Stream                | Description                                                                          | Assumption                                                                                                                                                                                     |
| Through existing base | We aim to persuade the existing active customer base to join the home décor platform | We assume that the conversion would be around 12%, 7% and 0.75% for Subscriptions, A La Carte and Event set respectively. Further, this rate would be growing as the platform gains popularity |
| New Customer Base     | We aim to use the brand image of RTR to attract new customers                        | We start with conservative assumptions based on home décor rental popularity and grow the customer base with time.                                                                             |

# Financial Analysis - Revenue streams

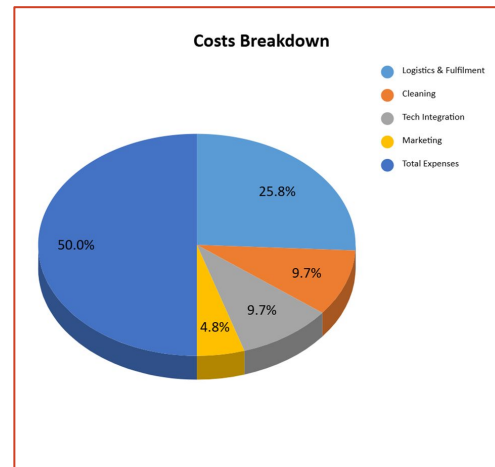
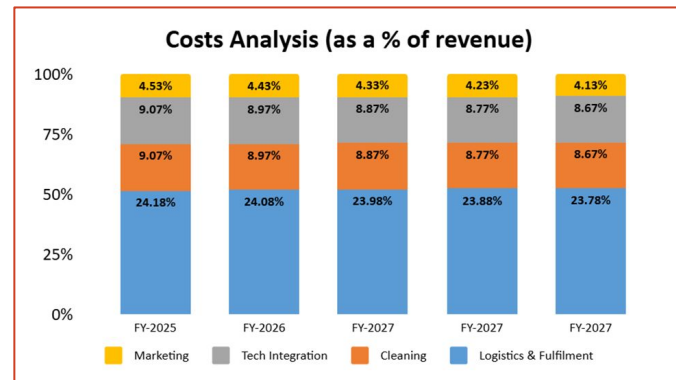
Revenues from Subscription customers accounts for 55%, followed by Event - 20%, and A La Carte - 18%

Customers leveraged from the fashion customer base are the primary source (27K, 90%), new customers are estimated to be 3K (10%)



# Financial Analysis – Cost structures

| Cost Layout                 |                                                                                            |
|-----------------------------|--------------------------------------------------------------------------------------------|
| Cost Head                   | Assumption                                                                                 |
| Logistics & Fulfilment      | ~24% of Revenues.<br>We expect to derive <b>synergies</b> from the existing network        |
| Cleaning                    | ~9% of revenues.<br>Expected to improve cost efficiency with time.                         |
| Tech Integration            | ~9% of revenues.<br>Focussing on integration with existing tech available                  |
| Marketing                   | ~4.5% of Revenues.<br>Major focus would be business customers and new customer acquisition |
| Rental Product Depreciation | ~25% of Revenues.                                                                          |
| Other                       | ~13% of Revenues.                                                                          |



# Financial Analysis - Profit

The Operating profit and Free Cash Flow for the period 2025-2029 are positive  
With Weighted Average Cost of Capital (WACC) of 10%, the NPV of the project  
is estimated to be **\$51M**

| Year | Operating Profit | Free Cash Flow |
|------|------------------|----------------|
| 2025 | \$4.6M           | \$3.9M         |
| 2026 | 5.5              | 4.7            |
| 2027 | 6.5              | 5.7            |
| 2028 | 7.7              | 6.8            |
| 2029 | 9.0              | 8.1            |

|                                     |                |
|-------------------------------------|----------------|
| Inventory Procurement (millions)    | \$ 20.0        |
| Other Capital Investment (millions) | \$ 15.0        |
| Cost of Capital                     | 10.0%          |
| Growth rate                         | 2.0%           |
| Terminal Value (at 2029)            | \$ 103.8       |
| PV of FCFs                          | \$ 21.5        |
| <b>NPV of the project</b>           | <b>\$ 51.0</b> |



# Risk Analysis & Non-Market Considerations

## Market Fit & Demand Uncertainty

RTR's core customers are fashion-focused. It's unclear whether this audience would embrace renting home décor or office greenery with the same enthusiasm.

## Brand Dilution

Moving into home and office rentals may confuse RTR's fashion-focused brand and weaken its identity.

## Inventory Complexity & Logistics

Home goods and plants have different handling needs: larger items, fragile packaging, seasonal designs, and living inventory.

## Operational Overhead & Cash Flow Strain

Launching a new vertical requires upfront investment in sourcing, technology, staffing, and marketing, which can strain resources.

## Other considerations



### Product Life Cycle & Damage Risk

Furniture and plants are more prone to visible wear, damage, or decay, which increases replacement and maintenance costs.



### Sustainability & ESG Alignment

If execution isn't green (e.g., high transport emissions, plant waste), it could contradict RTR's sustainable brand.

# Risks Mitigation



## Market Fit & Demand Uncertainty

- Pilot Programs: Launch small-scale test markets (e.g., NYC, LA) to gather user feedback.
- Surveys & Data Analytics: Leverage RTR's current customer base to survey interest and preferences
- Cross-Promotions: Introduce home décor or plants as add-ons in current fashion rental subscriptions to test interest.



## Brand Dilution

- Sub-Branding Strategy: Launch the new service under a distinct but affiliated label, e.g., RTR Living.
- Consistent Brand Values: Emphasize shared pillars (style, sustainability, access) across all verticals.
- Targeted Marketing: Different messaging and channels for fashion vs. lifestyle segments.



## Inventory Complexity & Logistics

- Partner with Experts: Collaborate with existing home décor rental or plant maintenance firms for back-end support.
- Segmented Warehousing: Use separate logistics streams and inventory systems for lifestyle items.
- Standardized Design Packages: Limit SKUs by offering pre-set "collections" to simplify logistics and styling.



## Operational Overhead & Cash Flow Strain

- Stage-Based Investment: Set clear success metrics for pilot programs before expanding.
- Third-Party Fulfillment: Outsource non-core functions initially to reduce capex.
- Revenue Forecasting Models: Build conservative cash flow scenarios to avoid overextending.



# Q&A



# Appendix – Financial Model

| Operating Metrics                       | FY-2025       | FY-2026       | FY-2027       | FY-2028       | FY-2029       |
|-----------------------------------------|---------------|---------------|---------------|---------------|---------------|
| <b><u>Existing Customer Metrics</u></b> |               |               |               |               |               |
| Existing Home Décor Subscribers         | 16,225        | 17,746        | 19,379        | 21,131        | 23,009        |
| Existing A La Carte Customers           | 9,465         | 10,648        | 11,926        | 13,305        | 14,791        |
| Existing Event Set Customers            | 1,014         | 1,207         | 1,416         | 1,643         | 1,890         |
| <b>Existing Home Décor Customers</b>    | <b>26,704</b> | <b>29,601</b> | <b>32,721</b> | <b>36,079</b> | <b>39,690</b> |
| <b><u>New Customer Metrics</u></b>      |               |               |               |               |               |
| New Subscribers                         | 1,500         | 1,700         | 1,950         | 2,250         | 2,600         |
| New A La Carte Customers                | 1,000         | 1,100         | 1,225         | 1,375         | 1,575         |
| New Event Set Customers                 | 100           | 120           | 145           | 175           | 210           |
| <b>New Home Décor Customers</b>         | <b>2,600</b>  | <b>2,920</b>  | <b>3,320</b>  | <b>3,800</b>  | <b>4,385</b>  |
| <b><u>Total</u></b>                     |               |               |               |               |               |
| Total Subscription Customers            | 17,725        | 19,446        | 21,329        | 23,381        | 25,609        |
| Total A La Carte Customers              | 10,465        | 11,748        | 13,151        | 14,680        | 16,366        |
| Total Event Customers                   | 1,114         | 1,327         | 1,561         | 1,818         | 2,100         |
| <b>Home Décor Customers</b>             | <b>29,304</b> | <b>32,521</b> | <b>36,041</b> | <b>39,879</b> | <b>44,075</b> |
| Existing Customers as a % of Total      | 91.1%         | 91.0%         | 90.8%         | 90.5%         | 90.1%         |
| New Customers as a % of Total           | 8.9%          | 9.0%          | 9.2%          | 9.5%          | 9.9%          |

# Appendix – Financial Model

| Revenue Metrics                                         | FY-2025        | FY-2026        | FY-2027        | FY-2028        | FY-2029        |
|---------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b><u>Existing Customers Revenue (USD millions)</u></b> |                |                |                |                |                |
| Existing Customers Subscription Revenue                 | \$ 18.5        | \$ 20.6        | \$ 23.0        | \$ 25.6        | \$ 28.4        |
| Existing Customers A La Carte Revenue                   | \$ 5.7         | \$ 6.5         | \$ 7.4         | \$ 8.5         | \$ 9.6         |
| Existing Customers Revenue                              | \$ 6.7         | \$ 8.1         | \$ 9.7         | \$ 11.5        | \$ 13.5        |
| <b>Existing Home Décor Revenue</b>                      | <b>\$ 30.9</b> | <b>\$ 35.3</b> | <b>\$ 40.2</b> | <b>\$ 45.5</b> | <b>\$ 51.5</b> |
| <b><u>New Customers Revenue (USD millions)</u></b>      |                |                |                |                |                |
| New Customers Subscription Revenue                      | \$ 1.6         | \$ 1.9         | \$ 2.2         | \$ 2.6         | \$ 3.0         |
| New Customers A La Carte Revenue                        | \$ 0.5         | \$ 0.6         | \$ 0.7         | \$ 0.8         | \$ 0.9         |
| New Customers                                           | \$ 0.1         | \$ 0.1         | \$ 0.1         | \$ 0.1         | \$ 0.1         |
| <b>New Home Décor Revenue</b>                           | <b>\$ 2.2</b>  | <b>\$ 2.5</b>  | <b>\$ 3.0</b>  | <b>\$ 3.5</b>  | <b>\$ 4.1</b>  |
| <b><u>Revenue (USD millions)</u></b>                    |                |                |                |                |                |
| Subscription Revenue                                    | \$ 20.1        | \$ 22.5        | \$ 25.2        | \$ 28.1        | \$ 31.4        |
| A La Carte Revenue                                      | \$ 6.2         | \$ 7.1         | \$ 8.1         | \$ 9.3         | \$ 10.5        |
| Event Set Revenue                                       | \$ 6.7         | \$ 8.2         | \$ 9.8         | \$ 11.6        | \$ 13.6        |
| <b>Total Home Décor Revenue</b>                         | <b>\$ 33.1</b> | <b>\$ 37.8</b> | <b>\$ 43.1</b> | <b>\$ 49.0</b> | <b>\$ 55.6</b> |
| Existing Customers as a % of Total                      | 93.3%          | 93.3%          | 93.1%          | 92.9%          | 92.7%          |
| New Customers as a % of Total                           | 6.7%           | 6.7%           | 6.9%           | 7.1%           | 7.3%           |

# Appendix – Financial Model

| <b>Cost Build</b>                                  | <b>FY-2025</b> | <b>FY-2026</b> | <b>FY-2027</b> | <b>FY-2028</b> | <b>FY-2029</b> |
|----------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b><u>Operating Costs</u></b>                      |                |                |                |                |                |
| Logistics & Fulfilment                             | \$ 8.0         | \$ 9.1         | \$ 10.3        | \$ 11.7        | \$ 13.2        |
| Cleaning                                           | \$ 3.0         | \$ 3.4         | \$ 3.8         | \$ 4.3         | \$ 4.8         |
| Tech Integration                                   | \$ 3.0         | \$ 3.4         | \$ 3.8         | \$ 4.3         | \$ 4.8         |
| Marketing                                          | \$ 1.5         | \$ 1.7         | \$ 1.9         | \$ 2.1         | \$ 2.3         |
| <b>Total Costs</b>                                 | <b>\$ 15.5</b> | <b>\$ 17.6</b> | <b>\$ 19.9</b> | <b>\$ 22.4</b> | <b>\$ 25.2</b> |
| Rental Product Depreciation                        | \$ 8.5         | \$ 9.7         | \$ 11.0        | \$ 12.4        | \$ 14.1        |
| Other                                              | \$ 4.5         | \$ 5.1         | \$ 5.8         | \$ 6.5         | \$ 7.3         |
| <b>Total Costs and Expenses</b>                    | <b>\$ 28.5</b> | <b>\$ 32.4</b> | <b>\$ 36.6</b> | <b>\$ 41.3</b> | <b>\$ 46.6</b> |
| <b><u>Operating Costs (as a % of Revenues)</u></b> |                |                |                |                |                |
| Logistics & Fulfilment                             | 24.2%          | 24.1%          | 24.0%          | 23.9%          | 23.8%          |
| Cleaning                                           | 9.1%           | 9.0%           | 8.9%           | 8.8%           | 8.7%           |
| Tech Integration                                   | 9.1%           | 9.0%           | 8.9%           | 8.8%           | 8.7%           |
| Marketing                                          | 4.5%           | 4.4%           | 4.3%           | 4.2%           | 4.1%           |
| <b>Total Costs</b>                                 | <b>46.9%</b>   | <b>46.5%</b>   | <b>46.1%</b>   | <b>45.7%</b>   | <b>45.3%</b>   |
| Rental Product Depreciation                        | 25.7%          | 25.6%          | 25.5%          | 25.4%          | 25.3%          |
| Other                                              | 13.6%          | 13.5%          | 13.4%          | 13.3%          | 13.2%          |
| <b>Total Costs and Expenses</b>                    | <b>86.1%</b>   | <b>85.5%</b>   | <b>84.9%</b>   | <b>84.3%</b>   | <b>83.7%</b>   |

# Appendix – Porter’s Five Forces Analysis (Detailed)

## Market Attractiveness: Porter’s Five Force Analysis

